

these would belong in the “special situation” area, where no true distinction exists between bonds and common stocks.[†]

Operations in Common Stocks

The activities specially characteristic of the enterprising investor in the common-stock field may be classified under four heads:

1. Buying in low markets and selling in high markets
2. Buying carefully chosen “growth stocks”
3. Buying bargain issues of various types
4. Buying into “special situations”

General Market Policy—Formula Timing

We reserve for the next chapter our discussion of the possibilities and limitations of a policy of entering the market when it is depressed and selling out in the advanced stages of a boom. For many years in the past this bright idea appeared both simple and feasible, at least from first inspection of a market chart covering its periodic fluctuations. We have already admitted ruefully that the market’s action in the past 20 years has not lent itself to operations of this sort on any mathematical basis. The fluctuations that have taken place, while not inconsiderable in extent, would have required a special talent or “feel” for trading to take advantage of them. This is something quite different from the intelligence which we are assuming in our readers, and we must exclude operations based on such skill from our terms of reference.

The 50–50 plan, which we proposed to the defensive investor and described on p. 90, is about the best specific or automatic formula we can recommend to all investors under the conditions of 1972. But we have retained a broad leeway between the 25% minimum and the 75% maximum in common stocks, which we allow to those investors who have strong convictions about either the danger or the attractiveness of the general market level. Some 20 years ago it was possible to discuss in great detail a